INFOSYS LTD

NSE: INFY | BSE: 500209

Equity Research | Initiating Coverage | IT Services & Consulting

RECOMMENDATION	TARGET PRICE (DCF)	CURRENT MARKET PRICE	IMPLIED UPSIDE
BUY	₹1,302.35	₹1,115.30	+16.8%

Valuation / Price Date: August 18, 2026 (per source workbook) Investment Horizon: 12–18 months

Market Capitalisation	**₹ 4,52,595 Cr**	WACC (Applied)	**11.32%**
Shares Outstanding	**405.81 Cr**	Terminal Growth Rate	**4.50%**
Face Value	**₹ 5.00**	FY26A Revenue	**₹ 1,78,650 Cr**
Sector / Industry	**IT Services**	FY22–FY26 Revenue CAGR	**10.0%**

Full sector classification: Information Technology / IT Services.

Investment Summary

Our discounted cash flow (DCF) analysis, built on a five-year explicit forecast (FY27E–FY31E) and a Gordon Growth terminal value, implies a fair value of ₹1,302.35 per share against a weighted average cost of capital of 11.32% and a terminal growth rate of 4.5%. This represents 16.8% upside to the current market price of ₹1,115.30. We cross-check this against six listed IT services peers — TCS, HCL Technologies, Tech Mahindra, Wipro, LTIMindtree and Persistent Systems. On EV/Revenue, EV/EBITDA and P/E, Infosys trades at a discount to the peer-implied fair value on all three metrics, which supports the case that the stock is undervalued at current levels. We initiate coverage with a BUY rating and a 12–18 month price target of ₹1,302.35.

The analysis is supported by an integrated three-statement financial model, DCF valuation and trading-comparables analysis (Infosys.xlsx). All figures are in ₹ Crores unless stated otherwise.

INFOSYS LTD
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TABLE OF CONTENTS

1. COMPANY OVERVIEW & INDUSTRY POSITION

Business Description

Infosys Ltd is one of India's largest information technology services and consulting companies, providing digital transformation, cloud engineering, application development, business process management and enterprise consulting services to global clients across banking & financial services, retail, manufacturing, healthcare, communications and energy verticals. The company runs a globally distributed delivery model anchored in India, with revenue spread across North America, Europe and the rest of the world.

Current Market Price (CMP)	**₹1,115.30**
Market Capitalisation	**₹ 4,52,595 Cr**
Shares Outstanding	**405.81 Cr**

Industry Overview & Competitive Position

Indian IT services remains a scaled, export-oriented industry built around global delivery of application development, infrastructure management, cloud migration and consulting work. Demand is driven by enterprise spend on cloud adoption, data and AI-led modernisation, and cost-takeout programmes at large global clients, set against a backdrop where discretionary technology budgets move with the macro cycle in the client's home market, particularly North America and Europe.

Within the listed Indian IT services universe, Infosys is the second-largest player by revenue behind Tata Consultancy Services (TCS), and competes directly with HCL Technologies, Wipro, Tech Mahindra, LTIMindtree and Persistent Systems — the same six-company peer set used in the WACC build-up and relative valuation sections of this report. The company's scale, breadth of service lines and long-standing client relationships in BFSI and North America give it a competitive position broadly comparable to TCS, ahead of the mid-tier peers on scale though not always on growth rate.

Cloud migration, data/AI platform work and vendor consolidation toward fewer, larger IT partners are the main structural growth drivers we see supporting the industry over the next five years. Infosys' exposure is broad-based across geographies and verticals, which limits single-client or single-market concentration risk but also means the business is exposed to a general slowdown in discretionary IT spend rather than any single idiosyncratic driver.

The main industry-level risks are a slowdown in discretionary technology spending among Western enterprise clients, pricing pressure as generative-AI tools reduce the effort required for certain categories of work, and competitive intensity among the six-peer set on both pricing and talent costs. We address the valuation implications of these risks in Section 10.

2. INVESTMENT THESIS & KEY CATALYSTS

Investment Thesis

1. The market is pricing Infosys as a mature, low-growth compounder — our model says otherwise.

Infosys trades at 9.16x EV/EBITDA and 9.43x P/E, below the six-peer median of 11.52x and 12.15x respectively, and below every metric for TCS, its closest scale peer. That discount is difficult to justify against a company generating 27.8% average ROE and 31.8% average ROCE over FY17–FY26, both comfortably above its own 11.32% cost of capital. If the market is pricing Infosys as though its growth and returns will structurally converge toward the lower end of the peer set, our model disagrees: revenue growth has averaged 10.0% over the last five years and we forecast a similar 10.6% p.a. through FY31E.

2. Margin resilience is the more important story than margin level.

EBITDA margin has held in a 23.7%–27.8% band for a decade despite wage inflation and currency swings, because SG&A leverage (down from ~8.5% of sales to under 5%) has offset gross-margin compression from the mix shift toward higher-volume digital and cloud work. Our forecast does not assume margin expansion — it assumes the company simply holds the FY26A margin structure. That is a conservative assumption relative to Infosys' own track record of defending margin through prior downturns.

3. The balance sheet gives the company optionality the DCF does not fully price.

Infosys carries negligible operating debt and a net cash position of ₹22,201 Cr as of FY26A. Our DCF holds the payout ratio at the FY26A level, so free cash accumulates on the balance sheet through the forecast rather than funding buybacks or special dividends. A more aggressive capital return policy is a lever management could pull that is not credited in our base-case target price.

4. The relative valuation discount is the clearest gap between price and our estimate of value.

Every valuation approach in this report — the DCF and all three peer multiples — implies a value above the current market price, with a range of ₹1,204–₹1,437 per share against a CMP of ₹1,115.30. The DCF is the most conservative of the four and remains the anchor for our ₹1,302.35 target; the comps methods point to further upside if the discount to peers narrows.

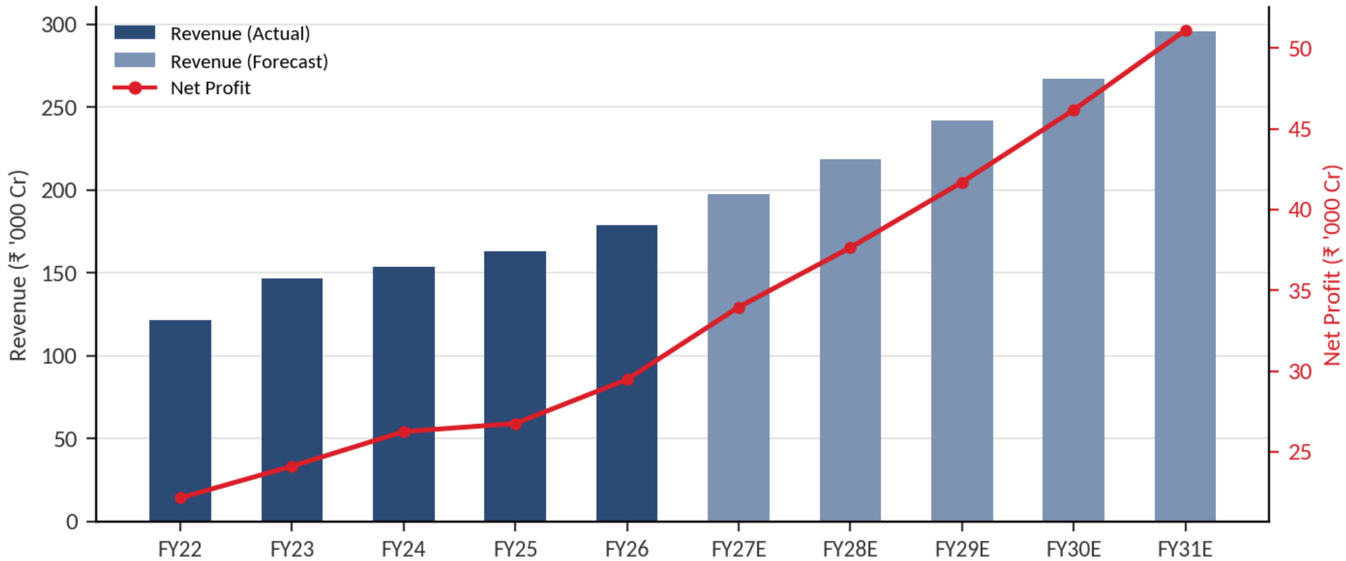
Key Catalysts

- Continued double-digit revenue growth. Our model forecasts 10.6% p.a. revenue growth through FY31E, in line with the FY22–FY26 track record. Delivery in line with this forecast is the single largest driver of the DCF's explicit-period cash flows and would directly validate the ₹1,302.35 target.
- Margin defence through the cycle. The forecast holds EBITDA margin flat versus FY26A. Evidence that the company can defend or modestly expand margin — via SG&A leverage or pricing discipline — would support upside to the terminal value, which accounts for roughly three-quarters of enterprise value in the DCF.
- Narrowing of the valuation discount to peers. Infosys trades below the six-peer median on all three multiples examined in Section 8. Any re-rating toward peer-median multiples, even partial, moves the comps-implied value toward the ₹1,394–₹1,437 range shown in Section 8.
- Capital allocation. The net cash position of ₹22,201 Cr and the model's assumption of an unchanged payout ratio mean a more active buyback or dividend policy is a call option not credited in the base-case DCF.
- Continued demand for cloud and AI-linked transformation work. To the extent enterprise clients keep funding cloud migration and data/AI modernisation programmes, this supports the volume growth assumption embedded in the forecast; a pullback in this category of spend is the corresponding downside risk (Section 10).

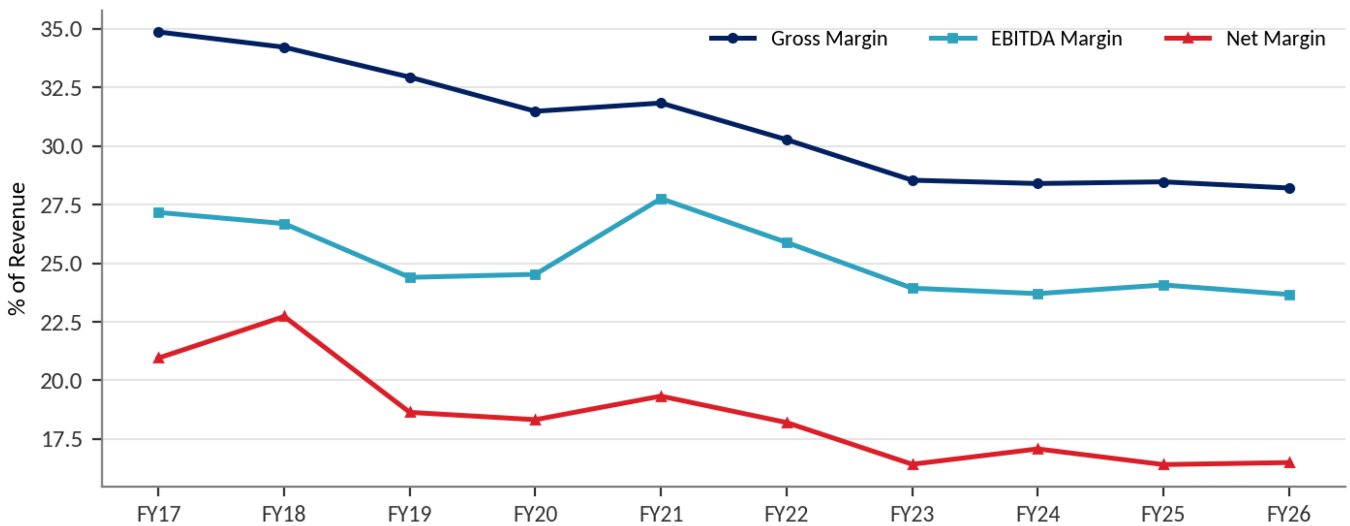
3. HISTORICAL FINANCIAL PERFORMANCE (FY17A–FY26A)

Revenue has compounded at 10.0% p.a. over FY22–FY26, from ₹1,21,641 Cr to ₹1,78,650 Cr, and our forecast extends this into a 10.6% p.a. growth path through FY31E. Net profit has grown roughly in line with revenue, keeping net margin range-bound rather than expanding.

Revenue & Net Profit: FY22A–FY31E



Margin Trend: FY17A–FY26A



Gross margin has compressed steadily from 34.9% (FY17) to 28.2% (FY26), which we read as a mix effect — a shift toward higher-volume digital and cloud engagements — layered on top of sustained wage inflation for technical talent. EBITDA margin has held up better, staying in a 23–28% range, because SG&A has fallen from a peak of ~8.5% of sales to under 5% in recent years, largely offsetting the gross-margin pressure. Net margin has settled around 16–17% over the last four fiscal years, down from the above-20% levels of FY17–FY18.

4. BALANCE SHEET & CAPITAL STRUCTURE

Infosys carries almost no operating leverage: borrowings stay a marginal share of the capital structure throughout the forecast, and the balance sheet's growth is driven overwhelmingly by cash accumulation rather than by rising liabilities. This matters for the valuation in two ways — it keeps financial risk low, and it means the free cash flow generated by the business (rather than leverage) is what has to do the work of creating shareholder value.

Particulars (₹ Cr)	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Equity Share Capital	2,024	2,024	2,024	2,024	2,024	2,024
Reserves & Surplus	90,828	119,043	150,319	184,960	223,315	265,773
Borrowings	9,176	9,744	10,777	11,919	13,183	14,580
Other Liabilities	52,260	66,809	85,409	109,187	139,584	178,445
Total Liabilities	**1,54,288**	**1,97,621**	**2,48,529**	**3,08,090**	**3,78,106**	**4,60,821**
Fixed Assets (Net Block)	33,770	36,692	40,022	43,786	48,020	52,763
Capital Work in Progress	526	467	467	467	467	467
Investments	21,880	22,471	23,077	23,701	24,340	24,998
Other Assets	40,677	50,033	61,540	75,694	93,104	1,14,518
Total Non-Current Assets	**96,853**	**1,09,663**	**1,25,106**	**1,43,648**	**1,65,932**	**1,92,746**
Receivables	35,234	36,811	40,713	45,028	49,801	55,080
Cash & Bank	22,201	51,147	82,710	1,19,414	1,62,373	2,12,995
Total Current Assets	**57,435**	**87,958**	**1,23,423**	**1,64,442**	**2,12,174**	**2,68,075**
Total Assets	**1,54,288**	**1,97,621**	**2,48,529**	**3,08,090**	**3,78,106**	**4,60,821**

Balance sheet check: Total Assets equal Total Liabilities in every historical and forecast year — the model is fully integrated and balances by construction.

Total assets grow from ₹1,54,288 Cr (FY26A) to ₹4,60,821 Cr (FY31E), and almost all of that growth is cash: cash and bank balances rise from ₹22,201 Cr to ₹2,12,995 Cr because the model does not assume incremental buybacks or special dividends beyond the FY26A payout ratio. Borrowings stay a marginal share of the capital structure throughout, in line with Infosys' historically conservative approach to leverage. In practice, this means the DCF's terminal cash balance is conservative — a more active capital-return policy (Section 2, Catalysts) would reduce the cash build without changing operating cash flow.

5. COST OF CAPITAL — WACC BUILD-UP

The discount rate applied to unlevered free cash flow is a standard WACC build: cost of equity comes from CAPM using a peer-based relevered beta, and after-tax cost of debt is blended with cost of equity at target capital-structure weights.

Step 1 — Peer beta unlevering / relevering

Levered (equity) betas for Infosys and three domestic peers — TCS, HCL Technologies and Wipro — are unlevered using each company's own debt/equity and marginal tax rate. The median unlevered beta is then relevered at Infosys' own target capital structure.

Company	Total Debt	Mkt Cap	Tax Rate	D/E	Levered β	Unlevered β
Infosys	8,737	4,52,250	30%	1.93%	0.75	0.7400
TCS	11,283	8,26,588	30%	1.37%	0.70	0.6934
HCL Technologies	5,215	3,51,962	30%	1.48%	0.80	0.7918
Wipro	20,291	1,77,737	30%	11.42%	0.85	0.7871
Median			**30.0%**	**1.71%**	**0.775**	**0.7635**

Step 2 — Cost of equity (CAPM)

Risk-free rate (10-yr G-Sec)	**6.76%**
Equity risk premium	**6.20%**
Relevered beta (at Infosys target D/E)	**0.7851**
Cost of Equity	**11.63%**

Step 3 — Cost of debt

Pre-tax cost of debt	**4.53%**
Tax rate	**27.27%**
Post-tax cost of debt	**3.30%**

Step 4 — Weighting at target capital structure

The target weights are not Infosys' current, near-zero-debt capital structure. They come from the target debt/equity of 3.88% used in the peer-comps beta relevering step above, which converts to a debt weight of 3.7% and an equity weight of 96.3% of total capital. This is the peer-based target structure applied consistently through both the beta relevering and the WACC weighting, rather than Infosys' own current, lower-debt balance sheet.

Component	Cost	Weight	Weighted Cost
Debt	3.30%	3.74%	0.12%
Equity	11.63%	96.26%	11.19%
WACC		**100.00%**	**11.32%**

WACC of 11.32% is the discount rate applied to both the explicit five-year unlevered free cash flows and the terminal value in the DCF model.

6. DISCOUNTED CASH FLOW (DCF) VALUATION

The DCF values Infosys' operating assets as the present value of unlevered free cash flow to firm (FCFF) over an explicit five-year window (FY27E–FY31E), plus a Gordon Growth terminal value beyond FY31E. FCFF is built up from EBITDA, adjusted for depreciation add-back, capex and the change in net working capital.

₹ Cr	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Sales	1,78,650	1,97,587	2,18,531	2,41,695	2,67,315	2,95,651
EBITDA	42,280	47,935	53,016	58,635	64,851	71,725
EBIT	40,411	47,103	52,193	57,808	64,006	70,850
Tax	10,521	12,732	14,113	15,632	17,308	19,159
NOPAT	**29,890**	**34,370**	**38,079**	**42,176**	**46,698**	**51,691**
Add: Depreciation	4,902	4,981	5,412	5,903	6,458	7,083
Less: Capex	7,711	7,903	8,741	9,668	10,693	11,826
Less: Change in NWC	3,127	1,009	2,869	3,173	3,510	3,882
Unlevered FCFF	**23,954**	**30,439**	**31,881**	**35,238**	**38,954**	**43,067**

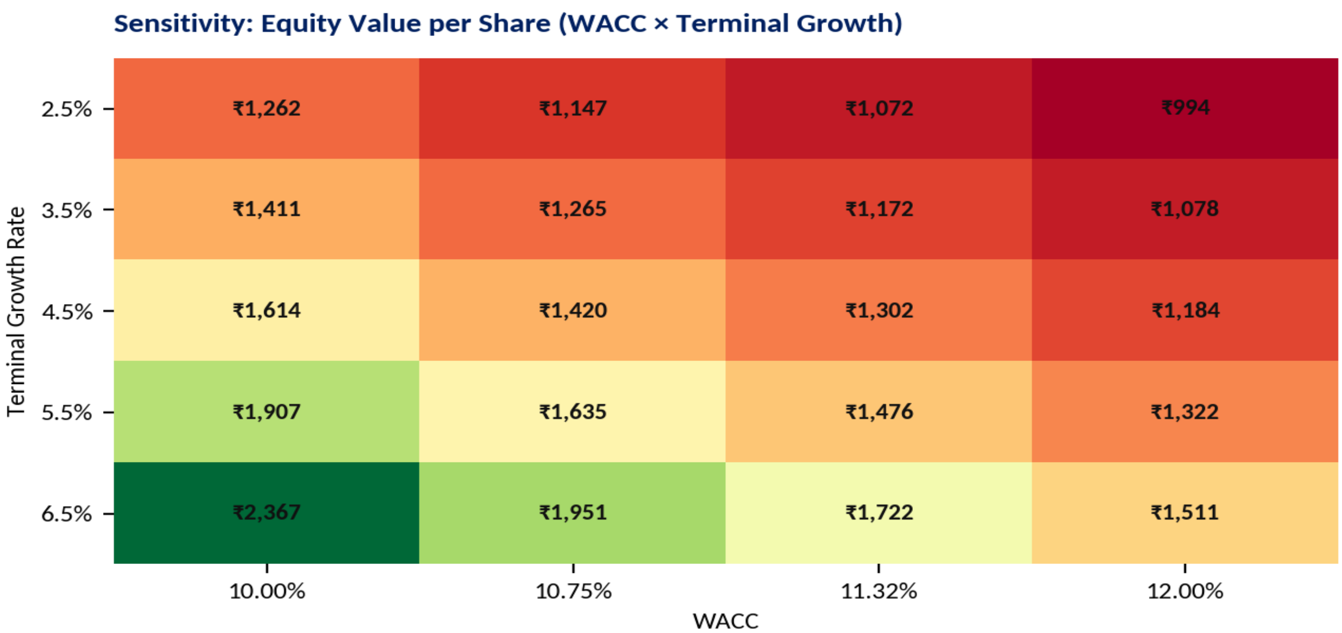
Key operating assumptions: revenue growth of 10.6% p.a., COGS held at ~71.2% of revenue, capex at ~4.0% of revenue, and working-capital days consistent with the FY22–FY26 historical average.

Terminal Value & Enterprise Bridge

FY31E Unlevered FCFF	₹43,066.74
Terminal growth rate (g)	4.50%
WACC	11.32%
Terminal Value = $FCFF_5$ × (1+g) / (WACC − g)	₹660,248.40
Sum of PV of explicit FCFF (FY27E–FY31E)	₹129,186.88
PV of Terminal Value	₹386,289.46
Value of Operating Assets	**₹515,476.34**
Add: Cash & Cash Equivalents	₹22,201.00
Less: Total Debt	(₹9,176.00)
Value of Equity	**₹528,501.34**
No. of Shares Outstanding (Cr)	405.81
Implied Equity Value per Share	**₹1,302.35**

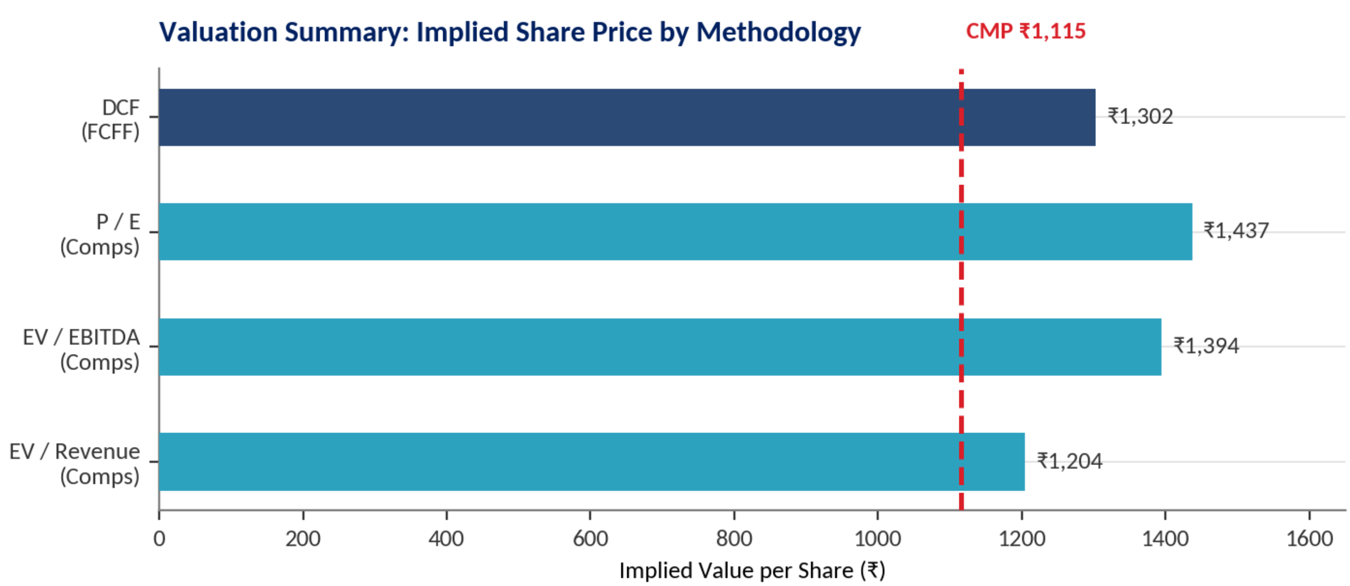
7. SENSITIVITY ANALYSIS

Terminal value makes up roughly three-quarters of total enterprise value, so the DCF output is most sensitive to the two long-run assumptions that drive it — the discount rate (WACC) and the terminal growth rate. The table below flexes both variables around the base case (WACC 11.32%, terminal growth 4.5%) and recomputes the full valuation bridge, including the discount factors applied to the explicit FCFF stream, at each combination.



At the base case, the two-way table reproduces the headline value of ≈₹1,302 per share, confirming internal consistency of the model. Value per share ranges from about ₹994 (WACC 12.0%, terminal growth 2.5%) to over ₹2,367 (WACC 10.0%, terminal growth 6.5%) — a wide dispersion that is typical of terminal-value-driven DCFs, and the reason we lean on the relative valuation in Section 8 as a cross-check rather than relying on the DCF alone.

Football-field comparison. The chart below places the DCF-implied value alongside the three relative valuation multiples covered in the next section, against the current market price.



8. RELATIVE VALUATION — TRADING COMPARABLES

As a cross-check to the intrinsic DCF valuation, Infosys is benchmarked against six listed Indian IT services peers on EV/Revenue, EV/EBITDA and P/E multiples. All financial data is sourced from Screener.in, figures in ₹ Crores.

Company	Share Price	EV/Revenue	EV/EBITDA	P/E
TCS	₹2,287.00	2.99x	10.54x	10.56x
Infosys	₹1,115.30	2.38x	9.16x	9.43x
HCL Technologies	₹1,298.90	2.49x	11.52x	12.15x
Tech Mahindra	₹1,586.00	2.58x	15.98x	16.29x
Wipro	₹179.15	1.97x	8.50x	8.06x
LTIMindtree	₹4,637.50	3.11x	15.36x	15.41x
Persistent Systems	₹5,520.15	5.49x	28.06x	28.31x
High		**5.49x**	**28.06x**	**28.31x**
75th Percentile		**3.05x**	**15.67x**	**15.85x**
Average		**3.00x**	**14.16x**	**14.31x**
Median		**2.58x**	**11.52x**	**12.15x**
25th Percentile		**2.43x**	**9.85x**	**9.99x**
Low		**1.97x**	**8.50x**	**8.06x**

Infosys trades at 2.38x EV/Revenue, 9.16x EV/EBITDA and 9.43x P/E — below the peer median on all three multiples, and below TCS, its closest scale peer, on every metric. Applying the peer-median multiple to Infosys' own revenue, EBITDA and net profit gives the implied valuations below.

	EV/Revenue	EV/EBITDA	P/E
Peer Median Multiple Applied	2.58x	11.52x	12.15x
Implied Enterprise Value	₹475,747.23	₹552,968.85	₹570,173.50
Less: Net Debt	(₹12,912.85)	(₹12,912.85)	(₹12,912.85)
Implied Market (Equity) Value	₹488,660.08	₹565,881.71	₹583,086.35
No. of Shares (Cr)	405.81	405.81	405.81
Implied Value per Share	**₹1,204.16**	**₹1,394.45**	**₹1,436.85**
Signal vs. CMP of ₹1,115.30	**Undervalued**	**Undervalued**	**Undervalued**

9. VALUATION SUMMARY, RECOMMENDATION & VARIANT VIEW

Methodology	Implied Value / Share	Premium / (Discount) to CMP
DCF (FCFF, WACC 11.32%, g 4.5%)	**₹1,302.35**	**+16.8%**
Comps — EV/Revenue (Median)	₹1,204.16	+8.0%
Comps — EV/EBITDA (Median)	₹1,394.45	+25.0%
Comps — P/E (Median)	₹1,436.85	+28.8%
Average of All Methods	**₹1,334.45**	**+19.6%**

The DCF and the three comps-based approaches provide valuation support across a range of ₹1,204–₹1,437 per share, above the current market price of ₹1,115.30. The average implied value of ₹1,334.45 represents 19.6% upside. We initiate coverage with a BUY rating and a DCF-anchored target price of ₹1,302.35, with a 12–18 month investment horizon.

We use the DCF as the primary anchor rather than the higher comps-implied values because it is tied to Infosys' own cash-flow economics rather than to where the market happens to be pricing peers today — a more conservative and, in our view, more defensible basis for a 12–18 month price target.

Variant View — Why the Market May Be Wrong

Infosys trades at a discount to its six-peer median on every multiple we examine, despite ROE and ROCE that run well ahead of the peer set and of its own cost of capital, a net cash balance sheet, and cash-from-operations that has tracked 15–22% of sales. If the market is assigning Infosys a TCS-discount purely on relative growth optics, that discount looks large next to the profitability and cash-generation gap in Infosys' favour. Our ₹1,302.35 DCF value and the ₹1,204–₹1,437 comps range both sit above the ₹1,115.30 market price; the gap is the difference between what the market is currently paying and what we think the underlying cash flows and balance sheet are worth.

10. KEY RISKS & WHAT WOULD CHANGE OUR VIEW

Key Risks to the Thesis

- Terminal value sensitivity. About three-quarters of the DCF's enterprise value sits in the terminal value, which is driven by the WACC and terminal-growth assumptions. As Section 7 shows, a 100bps adverse move in either can shift the implied value per share by 10–20%, so the target price is more sensitive to these two long-run assumptions than to any single year of the explicit forecast.
- Demand-side cyclicality. The 10.6% p.a. revenue growth assumption depends on discretionary IT spend, particularly in BFSI and North American enterprise clients, holding up. A macro-driven slowdown in technology budgets would directly lower the explicit-period FCFF and, through the terminal value, the DCF output.
- Wage inflation and pricing pressure. Employee costs are over half of revenue. Continued wage inflation without offsetting productivity or pricing gains would compress EBITDA margin below the 23–24% range assumed in the forecast, which flows straight through to NOPAT and unlevered FCFF.
- Currency risk. A meaningful share of revenue is US-dollar and other foreign-currency denominated. INR volatility is not explicitly modelled in this forecast and could move reported results away from the assumptions used here.
- Multiple de-rating. The comps-implied values in Section 8 depend on peer multiples holding at current levels. A sector-wide de-rating — for example from AI-driven pricing disruption in IT services — would lower the comps-implied fair value independently of Infosys' own fundamentals.

What Would Change Our View

The following would lead us to revisit the BUY rating and target price:

- Revenue growth tracking materially below the 10.6% p.a. forecast for two or more consecutive years.
- EBITDA margin sustained below the 23–24% range assumed in the model, rather than a single quarter's dip.
- Cash-from-operations conversion falling well outside the historical 15–22% of sales range.
- A broad-based deterioration in IT-services demand across the six-peer set, rather than company-specific weakness.
- A sustained de-rating of peer multiples that also compresses Infosys' own trading multiples, independent of a change in fundamentals.
- The stock price closing the gap to our ₹1,302.35 DCF value, at which point the risk/reward from current levels would no longer support a fresh BUY.

11. APPENDIX — MODELLING ASSUMPTIONS & DISCLAIMER

Core Forecast Assumptions (FY27E–FY31E)

- Revenue growth: 10.6% p.a.
- COGS (% of revenue): ~71.2%
- Depreciation: per depreciation schedule, capex-linked
- Capex (% of revenue): ~4.0%
- Accounts receivable / payable days: held at historical FY22–FY26 average
- Tax rate (% of EBT): ~27.3%
- Terminal growth rate: 4.5%
- WACC: 11.32%

Sources & Notes

- Historical financial statements, common-size statements and ratio analysis are sourced from Screener.in via the accompanying Data Sheet tab.
- Peer comparable data (share price, revenue, EBITDA, net profit) reflects the snapshot captured in the Relative Valuation tab; minor differences vs. publicly reported figures may exist due to rounding.
- All figures are presented in ₹ Crores unless stated otherwise.
- The sensitivity table in Section 7 has been independently recomputed from the underlying FCFF, discount-factor and terminal-value formulas in the DCF Valuation Model tab, because the cached values in the workbook's native data table did not update across WACC scenarios. This is flagged here as a model issue requiring user verification if the workbook is edited further: the DCF Valuation Model tab's sensitivity grid (cells populated via Excel's What-If Data Table feature) should be refreshed or recalculated in Excel before the workbook is relied on standalone for this table.

Disclaimer